not been rewarded with large territorial gains. Arabs and Indians longed for independence; the Chinese looked for social justice and a lessening of foreign intrusion; and the Japanese hoped to expand their influence in China. In Russia, the Communists eagerly consolidated their power and dreamt of exporting their revolution to the rest of the world.

In 1923, Germany suspended reparations payments. In retaliation for the French occupation of the industrialized Ruhr valley, the German government began printing money recklessly, causing the most severe inflation the world had ever seen. Soon German money had so little value that it took a wheelbarrow full of banknotes to buy a loaf of bread. As Germany teetered on the brink of civil war, radical nationalists tried to overthrow the government. Finally, the German government issued a new currency and promised to resume reparations payments, and the French agreed to withdraw their troops from the Ruhr.

Beginning in 1924, the world enjoyed a few years of calm and prosperity. After the end of the German crisis of 1923, the western European nations became less confrontational, and Germany joined the League of Nations. The vexed issue of reparations also seemed to vanish, as Germany borrowed money from New York banks to make its payments to France and Britain, which used the money to repay their wartime loans from the same New York banks. This triangular flow of money, based on credit, stimulated the rapid recovery of the European economies. France began rebuilding its war-torn northern zone; Germany recovered from its hyperinflation; and a boom began in the United States that would last for five years.

While their economies flourished, governments grew more cautious and businesslike. Even the Communists, after Lenin's death, seemed to give up their attempts to spread revolution abroad. Yet neither Germany nor the Soviet Union accepted the borders with the small nations that had arisen between them. In 1922, they signed a secret pact allowing the German army to conduct maneuvers in Russia (in violation of the Versailles treaty) in exchange for German help in building up Russian industry and military potential.

The League of Nations proved adept at resolving numerous technical issues pertaining to health, labor relations, and postal and telegraph communications. Without U.S. participation, however, sanctions against states that violated League rules carried little weight.

Section Review

- The war caused millions of deaths and injuries and millions of refugees.
- France, Britain, and the United States dominated the Paris Peace Conference, refusing to listen to other voices.
- The United States refused to join the League of Nations, thereby weakening it.
- The Treaty of Versailles humiliated Germany but did not weaken it, thus becoming one of the notable failures in history.
- When Austria–Hungary and Russia fractured, several smaller nations arose in Europe, creating another source of potential conflict.
- After the Bolshevik victory in the civil war, the Russian economy was in ruins, and Stalin took power.
- After the German hyperinflation of 1923 was resolved, the world economy began to prosper in 1924.

28-4 China and Japan: Contrasting Destinies

Focus Question Why did China and Japan follow divergent paths in this period?

China and Japan both felt pressures from the West, but their modern histories had responded by following opposite paths. China clung much longer than Japan to a traditional social structure and economy, then collapsed into chaos and revolution. Japan experienced reform from above (see Chapter 27), acquiring industry and a powerful military, which it then used to take advantage of China's weakness. Their different reactions to the pressures of the West put these two great nations on a collision course.

28-4a Social and Economic Change

China's fast-growing population—about 400 million in 1900—exceeded that of any country in the world. In 1900, peasant plots averaged between 1 and 4 acres (less than 2 hectares) apiece, half as large as they had been two generations earlier. Farming methods had not changed in

Daily Life — Pandemic

Advances in transportation accelerated the spread of epidemics like cholera, typhoid fever, and yellow fever in the nineteenth century. However, underlying environmental causes such as poor sanitation, contaminated water, and insect infestations put some segments of the population at greater risk than others. The Spanish flu pandemic of 1918–1919 stood out for its broader reach. About one-third of the world's population came down with the disease, and 10 percent of those who caught it died, amounting to about 50 million souls worldwide. American deaths totaled 675,000, or the equivalent of two million today with triple the population base.

The belligerent powers in wartime Europe suppressed news of the flu epidemic, leaving the newspapers in neutral Spain to break the story and consequently attach the name Spanish flu to the disease, which actually originated with birds and then transferred to mammals.

The notion of tailoring a vaccine to curtail the spread of an unknown and untreatable pathogen went beyond the dreams of medical science. No world health organization came into being until the League of Nations Health Organization after 1919. And the American Food and Drug Administration (FDA) had only existed for a dozen years, its primary concerns being suppressing quack medicine and publicizing the undesirable contents of commercial compounds then commonly available, such as Habitina, a drug addiction cure containing both morphine and heroin; Coca-Bola, chewable tabs of cocaine; and dozens of opium preparations including Rexal Cholera Cure, Tousley's Sneezeless Snuff, and Dr. Fahrney's Teething Syrup.

▲ **Image 28.4 Pandemic** Emergency influenza hospital at Camp Funston, Kansas during the Spanish Flu pandemic of 1918. IanDagnall Computing/Alamy Stock Photo

28-3a The Impact of the War

Between 9 million and 10 million soldiers died in the war. Germans made up 2 million of the dead, Russians 1.7 million, and Frenchmen 1.7 million. Austria-Hungary lost 1.5 million, the British empire a million, the Ottoman empire half a million, Italy 460,000, and the United States 115,000. Perhaps twice that many returned home wounded, gassed, or shell-shocked, many of them handicapped for life.

War and revolution forced almost 2 million Russians, 750,000 Germans, and 400,000 Hungarians to flee their homes. Postwar conflicts then led to the expulsion of hundreds of thousands of Greeks from Anatolia and Muslims from Greece. Many refugees found shelter in France, which welcomed 1.5 million people to bolster its declining population. About 800,000 immigrants reached the United States before immigration laws passed in 1921 and 1924 closed the door to eastern and southern Europeans. Canada, Australia, and New Zealand adopted similar restrictions on immigration. The Latin American republics welcomed European refugees, but their relative poverty discouraged potential immigrants.

The great influenza epidemic of 1918–1919, which started among soldiers heading for the Western Front, became an unexpected byproduct of the war. This virulent strain infected almost everyone on earth and killed one person in every forty. Half a million Americans perished in the epidemic—five times as many as died in the war. World-wide, some 20 million people died.

The war also caused serious damage to the environment. Complete devastation left a scar across France and Belgium along the course of the Western Front. The fighting ravaged forests and demolished towns. The Earth had been gouged by trenches, pitted with craters, and littered

with ammunition, broken weapons, chunks of concrete, and the bones of countless soldiers. After the war, it took a decade to clear away the debris, rebuild the towns, and create dozens of military cemeteries with neat rows of crosses stretching for miles.

28-3b The Peace Treaties

In early 1919, delegates of the victorious powers met in Paris. The defeated powers viewed the deliberations from the sidelines until the ceremonial signing of treaties, and Russia played no role at all.

From the start, three men dominated the Paris Peace Conference: U.S. president Wilson, British prime minister David Lloyd George, and French premier Georges Clemenceau (**zhorzh cluh-mon-SO**). They ignored the Italians, who had joined the Allies in 1915, and paid even less attention to delegations from smaller European nations. They rejected the Japanese proposal that all races be treated equally. They ignored the Pan-African Congress organized by the African American W. E. B. Du Bois to call attention to the concerns of African peoples around the world. They also ignored the 10,000 would-be attendees that did not represent sovereign states, such as the Arab leader Faisal, the Zionist Chaim Weizmann, and several Armenian delegations. In the words of Britain's Foreign Secretary Balfour, they were "three all-powerful, all-ignorant men, sitting there and carving up continents"[4] (see Map 28.3).

Wilson, a high-minded idealist, wanted to apply the principle of self-determination to European affairs, by which he meant creating nations that reflected ethnic or linguistic divisions. He proposed a **League of Nations**, a world organization to safeguard the peace and foster international cooperation. His idealism clashed with the more hardheaded and self-serving nationalism of the Europeans. Lloyd George insisted that Germany pay a heavy indemnity, while Clemenceau wanted Germany to return Alsace and Lorraine, provinces France had lost in the Franco-Prussian War of 1870–1871.

In the end, the series of compromises agreed upon satisfied no one. The European powers did form a League of Nations, but the U.S. Congress refused to permit the United States join. France recovered Alsace and Lorraine but had be content with vague promises of British and American protection if Germany ever rebuilt its army. Britain acquired new territories in Africa and the Middle East, but came away greatly weakened by human loss and the disruption of its trade.

On June 28, 1919, the German delegates reluctantly signed the **Treaty of Versailles** (**vuhr-SIGH**). It forbade Germany having an air force or more than a token army and navy. It also assigned a large swath of Germany's eastern territory to a newly reconstituted Poland. Germany promised to pay reparations to compensate the victors for their losses, but they did not set a figure or a period of time for payment. A "guilt clause," which continued to rankle for years to come, obliged the Germans to accept "responsibility for causing all the loss and damage" of the war. The treaty left Germany humiliated but largely intact. Establishing a peace neither of punishment nor of reconciliation, Versailles proved one of the great failures in history.

Meanwhile, the Austro–Hungarian empire disintegrated. New countries appeared in the lands lost by Russia, Germany, and Austria–Hungary: Poland, resurrected after over a century; Czechoslovakia, created from the northern third of Austria–Hungary; and Yugoslavia, combining Serbia and the former south Slav provinces of Austria–Hungary. The new boundaries coincided with the major linguistic groups of eastern Europe, but they all contained disaffected minorities. These small nations could survive only as long as Germany and Russia lay defeated and prostrate.

League of Nations International organization founded in 1919 to promote world peace and cooperation but greatly weakened by the refusal of the United States to join. It proved ineffectual in stopping aggression by Italy, Japan, and Germany in the 1930s. It was superseded by the United Nations, which assumed some of its functions in 1946.

Treaty of Versailles The treaty imposed on Germany by France, Great Britain, the United States, and other Allied Powers after World War I. It demanded that Germany dismantle its military and give up lands to Poland. It caused much German resentment.

28-3c Russian Civil War and the New Economic Policy

In December 1918, civil war broke out in Russia. The Communists—as the Bolsheviks called themselves after March 1918—held central Russia, but all the surrounding provinces rose up against them. Counter-revolutionary armies led by former tsarist officers obtained weapons and supplies from the Allies. For three years, the two sides burned farms and confiscated crops, causing a famine that claimed 3 million victims—more than had died in Russia in seven years of fighting. By 1921, the Communists had defeated most of their enemies.

Finland, the Baltic states, and Poland remained independent, but the Red Army reconquered other parts of the tsar's empire one by one. In 1922, Ukraine merged with Russia to create the Union of Soviet Socialist Republics (USSR), or Soviet Union. In 1920–1921, the Red Army reconquered the Caucasus and replaced the existing leaders with Russians. In 1922, the new Soviet

[4]David Vital, *A People Apart: The Jews of Europe, 1789–1939* (Oxford, UK: Oxford University Press, 1999), p. 756.

republics of Georgia, Armenia, and Azerbaijan joined the USSR. In this way, the Bolsheviks regained control over lands and peoples that had been part of the tsar's empire.

Years of warfare, revolution, and mismanagement had ruined the Russian economy. Factories and railroads had shut down for lack of fuel, raw materials, and parts. Farmland had been devastated and livestock killed, causing hunger in the cities. Finding himself master of a country in ruin, Lenin announced the **New Economic Policy** (NEP) in 1923. It allowed peasants to own land and sell their crops, private merchants to trade, and private workshops to produce goods and sell them on the free market. Only the biggest businesses, such as banks, railroads, and factories, remained under government ownership.

The relaxation of controls had an immediate effect. Production began to climb, and food and other goods became available. But the NEP brought no change in the ultimate goals of the Communist Party. It merely provided breathing space—what Lenin called "two steps back to advance one step forward." The Communists had every intention of creating a modern industrial economy without private property. This meant investing in heavy industry and electrification and moving farmers to the cities to work in the new industries. It also meant providing food for urban workers without spending scarce resources to purchase it from the peasants. In other words, it meant making the peasants, the great majority of the Soviet people, pay for the industrialization of Russia. This policy turned them into bitter enemies of the Communists.

When Lenin died in January 1924, his leading associates jockeyed for power: Leon Trotsky, commander of the Red Army, and Joseph Stalin, general secretary of the Communist Party. Trotsky had the support of many "Old Bolsheviks" who had joined the party before the revolution. Having spent years in exile, he saw the revolution in Russia as a spark that would ignite a world revolution of the working class. Stalin, the only leading Communist who had never lived abroad, insisted that socialism could survive "in one country."

Stalin filled the party bureaucracy with individuals loyal to himself. He had Trotsky expelled for "deviation from the party line," and in January 1929 he forced Trotsky to flee the country. Then, as absolute master of the party, he prepared to industrialize the Soviet Union at breakneck speed.

28-3d An Ephemeral Peace

After the enormous sacrifices made during the war, the survivors developed hugely unrealistic expectations that soon evaporated. Conservatives in Britain and France longed for a return to the stability of the prewar era—the hierarchy of social classes, prosperous world trade, and European dominance over the rest of the world. Everywhere in the world, people's hopes had been raised by the lofty rhetoric of the war, then dashed by its outcome. In Europe, Germans felt cheated out of a victory that had seemed within their grasp, and Italians felt aggrieved that their sacrifices had

New Economic Policy Polic
proclaimed by Vladimir Lenin
1923 to encourage the revival
of the Soviet economy by allo
ing small, private enterprises
Joseph Stalin ended the NEP
in 1928 and replaced it with
series of Five-Year Plans.

◀ **Image 28.5 Len**
Orator The leader of t
Bolshevik revolutionari
spellbinding orator. He
is addressing Red Arm
in Sverdlov Square, M
in 1920. Interfoto/Personal
Stock Photo

w Wilson President
ited States (1913–
a leading figure at
Peace Conference
He could not persuade
Congress to ratify
of Versailles or
eague of Nations.

Points A peace
resented to the U.S.
by President Wood-
n in January 1918.
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f borders and the set-
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f an association of
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ntee their territorial
was rejected by
but it established
the moral leader of
the last year of
I.

28-2e The End of the War in Western Europe, 1917–1918

Like many Americans, President **Woodrow Wilson** wanted to stay out of the European conflict. For nearly three years he kept the United States neutral and tried to persuade the belligerents to compromise. But in late 1916, German leaders decided to starve the British into submission by using submarines to sink ships carrying food supplies to Great Britain. The Germans knew that unrestricted submarine warfare might bring the United States into the war, but they took the gamble that Britain and France would collapse before the United States could send enough troops to turn the tide.

The submarine campaign resumed on February 1, 1917, and the German gamble failed. The British organized their merchant ships into convoys protected by destroyers. On April 6, President Wilson asked the United States Congress to declare war on Germany.

In January 1918, President Wilson presented his **Fourteen Points**, a peace plan that called for the German evacuation of occupied lands, the settling of territorial disputes by the decisions of the local populations, and the formation of an association of nations to guarantee the independence and territorial integrity of all states. Facing the impending arrival of a fresh American army, General Erich von Ludendorff launched a series of surprise attacks that pushed to within 40 miles (64 kilometers) of Paris, but victory eluded him. Meanwhile, every month brought another 250,000 American troops to the front. In August, the Allies counterattacked and the Germans began a retreat that could not be halted.

In late October, Ludendorff resigned and sailors in the German fleet mutinied. Two weeks later, a new German government signed an armistice. At 11:00 A.M. on November 11, the guns on the Western Front went silent.

Section Review

opeans greeted the outbreak of war with enthusiasm.

er a month-long German advance into Belgium and
nce, armies stalemated in a line of trenches along the
stern Front, suffering huge casualties without achieving
ory.

he home fronts, civilians suffered severe shortages
women entered the workforce, while the United States
v rich on profits from war production.

entry of the Ottoman Empire into the war did not tip
alance.

- In the Balfour Declaration, Great Britain promised Jews a "national homeland" in Palestine.
- As Russia weakened, Lenin's Bolsheviks seized power in November 1917.
- Goaded by German submarine warfare, in 1917 the United States entered the war on the Allied side, and Germany began to retreat.
- The war ended on November 11, 1918, with the defeat of Germany.

28-3 Peace and Dislocation in Europe, 1919–1929

Focus Question What role did the war play in eroding European dominance in the world?

The Great War left Europe in turmoil. Peace treaty stipulations generated political tensions and resentments. National economies remained in flux until the mid-1920s. Then, just when peace and prosperity finally seemed at hand, disaster struck in the form of the Great Depression and World War II (discussed in Chapter 29).